

Honolulu Oil's shareholders chose the latter method.

The company's stock was selling at around \$30 per share—

but, so valuable were its tangible assets, that the price the buying companies paid for them worked out to about \$100

per share. This, of course, was the sum each Honolulu stockholder received for each share he held when the company was dissolved. In other words, the cash value of Honolulu Oil's assets was more than three times as much as the total value of its issued stock.

Naturally, shareholders can reap this particular type of windfall profit only when the company concerned is dissolved. But it should be plain to see how much added safety there is in investing in a company that has tangible assets with a net liquidation value greater than the value of its stock. If, as an example, the net liquidation value is three times that of the stock, then, in effect, each dollar of the stockholder's investment is secured by three dollars'

worth of realizable assets.

There are more such companies than one might imagine.

They can be found in various industries, but I am most familiar with companies in the petroleum industry and, more particularly, with those engaged in the business of producing oil.

Several oil stocks issued by sound, thriving companies are selling at prices well within any reasonable price-earnings ratio limits. Some of these oil companies also have tangible assets worth three, four and even more times the total value of their issued stock. It might be of interest to consider just one reason why this is so. Producing oil

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companies normally carry their oil and gas leases at cost on their balance sheets. A lease for which a company paid, say, \$25,000 is carried at that